

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning | H1B Visa Household

Prepared for Priya Sharma | February 2026

Educational scenario modeling for discussion with licensed professionals

H1B Household Edition

 GREEN Strategies Only (Single, No Spouse)

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile as an H1B visa household. All strategies have been filtered for immigration compliance. As a single H1B holder with no spouse, this snapshot is limited to GREEN strategies only, meaning strategies available directly to any W-2 employee regardless of visa status. No business entity formation, self-employment income, or active property management strategies are included.

This snapshot includes **6 direct strategies** available to you as a W-2 employee, plus a passive investment education framework. Business-based tax strategies (S-Corp, Augusta Rule, home office, Solo 401k) are currently locked and will become available after green card approval or through a future spouse's business entity. A Green Card Unlock section is included to illustrate the additional value these strategies could provide.

Implementation of any strategy should be verified with your CPA and licensed financial advisor. Based on the strategies modeled, this snapshot models potential first-year value ranging from **\$27,646** (conservative scenario) to **\$43,375** (aggressive scenario). These totals reflect a combination of tax savings, investment positioning, projected returns, and wealth building activities for the 2026 tax year.

Modeled First-Year Value (2026): **\$27,646** (Conservative) to **\$43,375** (Aggressive)

Current Financial Position

INCOME & EMPLOYMENT

Annual W-2 Income	\$85,000 (sole income source)
Employer	Mid-size tech company (Austin, TX)
Filing Status	Single, 0 dependents
Self-Employment / 1099	None (H1B restricted)
Business Entities	None

TAX PROFILE

Federal Marginal Rate	22% (taxable income ~\$60,975)
State Income Tax	0% (Texas)
Combined Marginal Rate	22%
Estimated 2026 Federal Tax	~\$8,126 (current withholding)
Estimated FICA (SS + Medicare)	~\$6,350
Standard Deduction (2026)	\$16,100 (single filer)
Student Loan Interest (above-the-line)	~\$825 (\$15K at 5.5%)

CURRENT RETIREMENT & SAVINGS

401(k) Contribution	\$5,100/yr (6% for employer match)
HSA Contribution	\$2,000/yr (HDHP enrolled)
IRA / Roth IRA	None
401(k) Balance	~\$32,000
Bitcoin Holdings	~\$2,500 (Coinbase)
Emergency Fund	~\$12,000 (3-6 months, HYSA)
Deployable Savings	\$12,000 (beyond emergency fund)

LIABILITIES & MONTHLY OBLIGATIONS

Student Loans	\$15,000 at 5.5% (\$200/mo min)
Car Loan	\$3,000 remaining at 4.9% (\$380/mo)
Monthly Fixed Expenses	\$3,200
Family Remittances (India)	\$300/mo (~\$3,600/yr)
Total Monthly Obligations	\$3,500
Credit Score	740-759
Homeowner Status	Renter (\$1,650/mo)

Immigration Status Summary

H1B VISA STATUS

Visa Type	H1B (Year 2 of initial 3-year term)
Sponsoring Employer	Current employer (Austin, TX)
I-140 (Green Card Petition)	Not filed. PERM filing planned for 2026.
Green Card Category	EB-2 or EB-3 (India)
Country of Birth	India (10-15+ year backlog)
Spouse / Partner	None (single)
Tax Treaty Benefits	Limited (US-India treaty has minimal H1B provisions)
Filing Status for Tax	Resident alien (substantial presence test met)
Grace Period	60 days if employment terminated

Immigration Status & Strategy Eligibility Assessment

H1B Visa Household: Strategy Availability

ASSESSMENT ITEM	STATUS	IMPACT ON STRATEGIES
H1B Holder	Priya Sharma, Year 2 of 3	W-2 strategies + passive investing only
I-140 Status	Not filed (PERM planned 2026)	No H4 EAD pathway available yet
Spouse / Partner	None (single)	No YELLOW strategies available
Green Card Timeline	Est. 10-15+ years (India EB-2/3)	Long planning horizon; focus on GREEN strategies and preparation
Liquidity Risk	⚠ HIGH	I-140 not filed, early H1B, sole earner, India backlog. Maintain 6-9 months emergency fund.

Strategy Color Classification

COLOR	MEANING	COUNT IN THIS SNAPSHOT
 GREEN	Available directly to H1B holder (W-2 employee strategies)	6 strategies
 YELLOW	Available through spouse's business entity (H4 EAD)	0 (no spouse)
 ORANGE	Requires immigration attorney review	0
 RED	Prohibited for H1B holder	Not included

All strategies in this document have been filtered for H1B immigration compliance. As a single H1B holder with no spouse, only GREEN strategies (available to any W-2 employee) are included. No prohibited (RED) strategies are included. YELLOW strategies become available through a future spouse's business entity with H4 EAD, or after green card approval.

Strategies Currently Locked

The following high-value strategies are **not available** while on H1B without a spouse. They are shown here for planning purposes and are detailed in the Green Card Unlock section (Section 6.5).

STRATEGY	STATUS	UNLOCKS WHEN
S-Corporation Election	 LOCKED	Green card + self-employment income
Augusta Rule	 LOCKED	Green card + business entity, or spouse's entity
Home Office Deduction	 LOCKED	Green card + qualifying business
Solo 401(k)	 LOCKED	Green card + self-employment income
Vehicle/Mileage Deduction	 LOCKED	Green card + business vehicle use
Active RE Management	 LOCKED	Green card (no immigration risk for management)
1099/Consulting Income	 LOCKED	Green card or EAD through I-485

Timeline Awareness & Implementation Considerations (2026 Planning)

TIMEFRAME	DISCUSSION POINTS & CONSIDERATIONS	PRIORITY
Week 1 (Immediate)	HSA Maximization: Log into employer benefits portal and increase HSA contribution to \$4,400/year (\$367/mo). Takes effect with next payroll cycle.	⚡ HIGH
	401(k) Increase: Evaluate increasing 401(k) from 6% (\$5,100) toward \$15,000/year (17.6%). Review monthly budget impact (\$570/mo surplus at this level). Adjust via employer portal.	
	Backdoor Roth IRA: Open Traditional IRA and Roth IRA accounts at Fidelity, Schwab, or Vanguard if not already established. Verify no existing Traditional IRA balances (pro-rata rule).	
Week 2	2025 Backdoor Roth IRA: Fund 2025 Traditional IRA contribution (\$7,000 max) and convert to Roth before April 15, 2026. This is a time-sensitive opportunity.	⚡ HIGH
	2026 Backdoor Roth IRA: Separately fund 2026 contribution (\$7,500). Can be done concurrently with 2025 conversion.	
	W-4 Review: With increased 401(k) and HSA reducing taxable income, review W-4 withholding to avoid over-withholding. Discuss optimal settings with CPA.	
Week 3	Emergency Fund Assessment: Current fund (~\$12,000) covers 3-4 months. Target 6-9 months (\$19,000-\$29,000) given H1B visa risk. Begin building toward this goal after high-priority items are funded.	MEDIUM
	Car Loan Payoff: Consider paying off remaining \$3,000 car loan balance to free \$380/mo in cash flow. At 4.9% interest, this provides a guaranteed return and simplifies your monthly budget.	
	Immigration Planning: Request meeting with employer's HR/immigration team to discuss PERM filing timeline. Research immigration attorneys in Austin for independent green card strategy consultation.	
Week 4	CPA Search: Research CPAs in Austin experienced with H1B/visa holder tax situations. Replace TurboTax for 2025 filing. Key qualifications: experience with resident alien filing, FBAR/FATCA, Backdoor Roth reporting.	MEDIUM
	Investment Setup: Open taxable brokerage account (Fidelity, Schwab, or similar) for any remaining deployable capital. Set up automated monthly contributions after other priorities are funded.	
	FBAR/FATCA Check: If you maintain any financial accounts in India, verify aggregate balances. File FinCEN Form 114 (FBAR) by April 15, 2026 if balances exceeded \$10,000 at any point in 2025.	

All timeline items are discussion points and considerations, not directives. Verify implementation details with qualified professionals. All strategies listed are GREEN (available to any W-2 employee) and do not require business entity formation or immigration attorney approval.

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	H1B STATUS
Traditional/Roth IRA (Backdoor Roth)	\$7,000	April 15, 2026	● Available
HSA Contributions (shortfall from 2025)	\$4,300 individual	April 15, 2026	● Available (if enrolled in HDHP in 2025)

No Longer Available for 2025: 401(k) employee deferrals (December 31, 2025 deadline passed), W-4 adjustments (only affect 2026 forward).

Key Opportunity: If Priya did not make a 2025 IRA contribution, a Backdoor Roth IRA of up to \$7,000 can be completed before April 15, 2026. At current savings levels, this represents a significant opportunity to position \$7,000 in tax-free growth. Additionally, if 2025 HSA contributions fell short of the \$4,300 individual limit (Priya contributed \$2,000), up to \$2,300 in additional 2025 HSA contributions may be possible.

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return. The Backdoor Roth requires proper reporting on Form 8606.

FBAR/FATCA Compliance Note

Foreign Account Reporting: If you maintain financial accounts outside the United States (including bank accounts, investment accounts, or retirement accounts in India) with aggregate balances exceeding \$10,000 at any point during 2025, you are required to file FinCEN Form 114 (FBAR) by April 15, 2026. If you meet FATCA thresholds (generally \$50,000+ for domestic filers), Form 8938 must be attached to your tax return. Penalties for non-filing can be severe (\$10,000+ per violation). Discuss foreign account reporting with your CPA.

2026 Tax Optimization Strategies to Explore

● GREEN - Direct to H1B Holder

Strategy Concept: Employer 401(k) Maximization

Potential Value: \$2,178 - \$3,490 in tax savings

What It Is: Increasing pre-tax 401(k) contributions reduces current taxable income dollar-for-dollar. At a 22% marginal rate, every additional \$1,000 contributed saves \$220 in federal income tax, while the money grows tax-deferred in your retirement account.

How It Works:

1. Increase contributions via employer payroll portal from current 6% (\$5,100/yr) toward target level
2. Conservative scenario: \$15,000/yr (17.6% of salary) saves ~\$2,178 in federal tax vs. current
3. Aggressive scenario: \$24,500/yr (maximum for 2026, under age 50) saves ~\$3,490 in federal tax vs. current

Eligibility Criteria: Available to any W-2 employee enrolled in employer 401(k) plan. 2026 employee deferral limit: \$24,500 (under age 50). No catch-up available at age 28.

H1B Compliance: Standard employer benefit. No immigration implications. Same rules apply to all W-2 employees regardless of visa status.

⚠ **Cash Flow Warning:** Maxing at \$24,500 (aggressive) reduces monthly take-home to ~\$3,373, which is below monthly obligations of \$3,500. The conservative target of \$15,000 maintains a \$570/month surplus. Consider phased increases: start at \$15,000, then increase by \$500/month each quarter as financial situation improves or expenses decrease.

Verify contribution changes and employer match with HR. 2026 limits shown. 401(k) employee deferrals must be made by December 31, 2026. SECURE 2.0 Roth catch-up mandate does not apply (income under \$150,000).

Strategy Concept: HSA Maximization

Potential Value: \$472 in combined tax + FICA savings

What It Is: The Health Savings Account is often called the "triple tax advantage" account: contributions are pre-tax (reduce taxable income), growth is tax-free, and qualified medical withdrawals are tax-free. Unlike 401(k) contributions, HSA contributions are also exempt from FICA taxes (7.65%), making this the most tax-efficient savings vehicle available.

How It Works:

1. Increase contribution from current \$2,000/yr to 2026 individual maximum of \$4,400
2. Additional \$2,400 saves ~\$528 in federal income tax ($\$2,400 \times 22\%$) plus ~\$184 in FICA savings ($\$2,400 \times 7.65\%$)
3. Net tax + FICA savings: ~\$472 after accounting for the interaction between deductions
4. Consider investing HSA funds rather than spending, to maximize long-term tax-free growth

Eligibility Criteria: Must be enrolled in an HDHP (Priya is currently enrolled). 2026 individual limit: \$4,400. No catch-up at age 28.

H1B Compliance: Standard employer benefit. No immigration implications. HSA is available to any W-2 employee with qualifying HDHP coverage.

Verify HDHP enrollment and current HSA balance with employer. Contributions can be adjusted through employer payroll. 2026 individual limit: \$4,400. Over-contributing triggers 6% excise tax per year.

Strategy Concept: Backdoor Roth IRA

Potential Value: \$7,500 positioned for tax-free growth (no immediate tax deduction)

What It Is: The Backdoor Roth IRA is a two-step process that allows high-income earners (or those who want Roth benefits) to contribute to a Roth IRA regardless of income limits. While there is no immediate tax deduction, all future growth and withdrawals in retirement are completely tax-free. For a 28-year-old, decades of tax-free compounding represent significant long-term value.

How It Works:

1. Contribute \$7,500 (2026 limit, under age 50) to a Traditional IRA (non-deductible contribution)
2. Convert the Traditional IRA to a Roth IRA (typically within days)
3. Report on Form 8606 with your tax return. No tax is owed on the conversion if there are no existing pre-tax IRA balances (pro-rata rule)
4. The \$7,500 now grows tax-free for decades. At a hypothetical 8% return over 37 years to age 65, this single contribution could grow to ~\$157,000, all tax-free

Eligibility Criteria: Available to any taxpayer, regardless of income. H1B resident aliens are eligible. The key requirement is having no existing pre-tax Traditional IRA balances (to avoid pro-rata taxation on conversion). Employer 401(k) balances do not count.

H1B Compliance: Contributing to an IRA is a passive savings activity. No immigration implications. Available to any resident alien who files US taxes. If you leave the US, consult a cross-border tax specialist about maintaining the Roth IRA.

Verify that you have no existing Traditional IRA balances before executing the Backdoor Roth. The pro-rata rule can create unexpected taxes if pre-tax IRA balances exist. Discuss execution and Form 8606 reporting with your CPA. 2026 IRA limit: \$7,500 (under age 50).

Strategy Concept: W-4 Withholding Optimization

Potential Value: \$300 - \$600 in improved monthly cash flow

What It Is: Many W-2 employees over-withhold federal income taxes and receive large refunds. A refund is an interest-free loan to the government. By adjusting your W-4 form to accurately reflect your deductions and pre-tax contributions, you can increase your monthly take-home pay without changing your actual tax liability.

How It Works:

1. After increasing 401(k) and HSA contributions (which reduce taxable income), your required withholding decreases
2. Use the IRS Tax Withholding Estimator (irs.gov) to calculate optimal withholding
3. Submit updated W-4 to employer. Changes take effect with next payroll cycle

Eligibility Criteria: Any W-2 employee can adjust their W-4 at any time. No restrictions.

H1B Compliance: Standard payroll adjustment. No immigration implications.

Work with your CPA to ensure withholding changes don't result in underpayment penalties. The IRS generally requires withholding of at least 90% of current year's tax liability or 100% of prior year's liability.

Strategy Concept: Student Loan Interest Deduction

Potential Value: ~\$100 in tax savings

What It Is: Taxpayers can deduct up to \$2,500 of student loan interest paid during the year as an above-the-line deduction (reduces AGI regardless of whether you itemize). On a \$15,000 loan at 5.5%, approximately \$825 in interest is paid annually, resulting in ~\$182 in tax savings at a 22% marginal rate.

How It Works:

1. Your loan servicer issues Form 1098-E showing interest paid during the year
2. Deduction is taken on Schedule 1, Line 21 of Form 1040
3. Phases out for single filers with MAGI between \$80,000-\$95,000 (2026 limits to be confirmed). At \$85K gross income less 401(k) and HSA, your MAGI may fall below or within the phase-out range depending on contribution levels.

Eligibility Criteria: MAGI must be below phase-out threshold. Loan must be for qualified education expenses. Available to H1B holders filing as resident aliens.

H1B Compliance: Standard tax deduction. No immigration implications.

Verify MAGI phase-out thresholds for 2026 with your CPA. If increasing 401(k) contributions lowers your MAGI, this could increase the deductible amount. TurboTax should be capturing this already, but verify.

Strategy Concept: Passive Investment Strategy (Bitcoin, STRC, ETFs)

Potential Value: See Investment Scenario (Section 7) & Value Summary (Section 8)

What It Is: Building a diversified passive investment portfolio is one of the most impactful wealth-building strategies available to H1B holders. Unlike business-based tax strategies, passive investing has no immigration restrictions. Bitcoin, STRC (Bitcoin-correlated income product), and broad market ETFs like VTI/VOO can all be purchased and held by H1B visa holders without any compliance concerns.

How It Works:

1. Allocate deployable capital across asset classes based on risk tolerance, time horizon, and liquidity needs
2. Prioritize tax-advantaged accounts first (Roth IRA, then HSA, then taxable brokerage)
3. Bitcoin serves as a core wealth accumulation vehicle due to its fixed supply and adoption trajectory. Purchasing and holding Bitcoin is a passive investment activity with no H1B visa implications.
4. STRC provides Bitcoin-correlated income (historically 10-12% yield) for investors seeking passive cash flow. STRC dividends are passive income, H1B compliant. Verify current yield at time of investment.
5. VTI offers broad U.S. market exposure at low cost, commonly used for equity diversification

Eligibility Criteria: Any person can open brokerage accounts and invest. No restrictions based on visa status for passive investment activities.

H1B Compliance: All passive investment activities (buying, holding, receiving dividends, capital gains) are permitted for H1B holders. This does not constitute employment or business activity. Day trading may raise questions if it becomes a primary activity; buy-and-hold investing is clearly passive.

These scenarios are for educational illustration. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. Bitcoin and cryptocurrency investments are highly volatile and speculative. Past performance does not guarantee future results. All investments carry risk including potential loss of principal.

Primary Strategy Education: Retirement Account Maximization

For a single H1B holder at \$85,000 income with limited tax strategy options, retirement account optimization represents the highest impact action available. The combination of 401(k), HSA, and Wealth Strategy Snapshot | H1B Household | 2026 Tax/Fed Planning | Educational Analysis Only | Consult Licensed Professionals & Immigration Attorney Before Implementation

Backdoor Roth IRA provides three distinct tax advantages that work together to accelerate wealth building.

The Math: Current vs. Optimized (Conservative Scenario)

ACCOUNT	CURRENT ANNUAL	OPTIMIZED ANNUAL	ADDITIONAL DEPLOYMENT
Employer 401(k)	\$5,100 (6%)	\$15,000 (17.6%)	+\$9,900
HSA	\$2,000	\$4,400 (max)	+\$2,400
Backdoor Roth IRA	\$0	\$7,500 (max)	+\$7,500
Total Tax-Advantaged	\$7,100/yr	\$26,900/yr	+\$19,800

This nearly quadruples the dollars going into tax-advantaged accounts each year. The 401(k) and HSA contributions provide an immediate ~\$2,750 tax savings (conservative), while the Backdoor Roth positions \$7,500 for decades of tax-free growth.

Long-Term Projection (Educational Illustration)

SCENARIO	ANNUAL CONTRIBUTION	ASSUMED RETURN	VALUE IN 10 YEARS	VALUE IN 20 YEARS
Current pace (\$7,100/yr)	\$7,100	8%	~\$135,000	~\$393,000
Optimized (\$26,900/yr)	\$26,900	8%	~\$422,000	~\$1,293,000
Additional wealth from optimization			~\$287,000	~\$900,000

These projections are hypothetical illustrations assuming consistent contributions and returns. Actual investment returns vary. This is not a prediction or guarantee of future results. Consult a licensed financial advisor.

Practical Cash Flow Reality

The critical constraint is monthly cash flow. At \$85,000 salary with \$3,500 in monthly obligations (including India remittances), full maximization creates a tight budget. The recommended approach for Priya's situation:

PHASE	401(K)	HSA	ROTH IRA	MONTHLY IMPACT
Phase 1 (Months 1-3)	\$12,000/yr (14%)	\$4,400/yr (max)	Fund from savings	~\$630/mo surplus
Phase 2 (Months 4-6)	\$15,000/yr (17.6%)	\$4,400/yr	Funded	~\$570/mo surplus
Phase 3 (After car payoff)	\$18,000/yr (21%)	\$4,400/yr	Funded	~\$500/mo surplus

Future Strategy Opportunities: After Green Card Approval

Strategies That Become Available with Green Card

Based on your current profile and professional skills (data analytics), receiving your green card (or EAD through I-485 filing) would unlock the following additional strategies:

STRATEGY	WHAT IT ENABLES	EST. ANNUAL VALUE
Data Analytics Consulting Business	Monetize your professional skills through a consulting LLC. Data analytics consulting rates in Austin typically range \$75-\$150/hr.	\$20,000-\$60,000+ additional income
S-Corporation Election	If consulting income exceeds ~\$50K, S-Corp structure can reduce FICA taxes on income above a reasonable salary.	\$3,000-\$8,000 FICA savings
Solo 401(k)	Tax-deferred contributions on self-employment income. Both employee (\$24,500) and employer (25% of net SE income) portions.	\$5,000-\$15,000 tax savings
Home Office Deduction	Deduct dedicated home office space through your business entity. \$5/sq ft simplified method or actual expenses.	\$800-\$1,500 tax savings
Augusta Rule	Rent your home to your own business entity for up to 14 days/year at fair market rate. Income is tax-free to you; deductible by the business.	\$3,500-\$5,000 tax savings
Vehicle/Mileage Deduction	Deduct business miles at 72.5¢/mile (2026 rate) for client meetings, conferences, etc.	\$2,000-\$4,000 tax savings
Active RE Management	Manage rental properties directly without immigration risk. Qualify for REP status if hours met.	Variable (significant with cost seg)

Estimated Additional Annual Tax Savings After Green Card: \$15,000 - \$35,000+ (depends on consulting income level and strategies implemented)

Planning Ahead: While on H1B, Priva can prepare for these strategies by building professional visibility, networking with potential consulting clients, documenting skills and expertise, and

educating herself on business formation. Activities like writing blog posts, contributing to open-source projects, speaking at meetups, and building an online presence are generally permissible on H1B as long as they are unpaid and uncompensated.

These strategies are NOT available while on H1B visa. Do not implement until you have received your green card or EAD through I-485 filing. Do not accept any payment, compensation, or business income while on H1B outside of your sponsoring employer. Verify timing with your immigration attorney.

Illustrative Portfolio Scenario

All investment activities shown are passive in nature and do not conflict with H1B employment restrictions. Purchasing and holding Bitcoin, STRC, ETFs, and maintaining savings accounts are passive investment activities available to any person regardless of visa status.

Capital Sources & Deployment

SOURCE	CONSERVATIVE	AGGRESSIVE
Deployable savings (Q26)	\$7,500 (Q45 midpoint)	\$12,000
H1B Liquidity Adjustment (high risk)	None	-15% (-\$1,800)
Effective deployment from savings	\$7,500	\$10,200
Existing Bitcoin position	\$2,500	\$2,500
Total Investable Capital	\$10,000	\$12,700

Note on Roth IRA: \$7,500 of the deployed savings goes into the Backdoor Roth IRA. This is an investment account (the \$7,500 is invested within the Roth), not a separate cash position. The allocation below applies to the total invested capital across all accounts.

Note on Remittances: Priya sends ~\$300/month (\$3,600/year) to family in India. This is not tax-deductible but reduces annual investable income by \$3,600. This has been factored into the cash flow analysis.

Educational Allocation Scenarios

Conservative Scenario (\$10,000 total)

ASSET CLASS	ALLOCATION	AMOUNT	EDUCATIONAL RATIONALE	H1B STATUS
Bitcoin (BTC)	40%	\$4,000	Core position. Fixed 21M supply, growing institutional adoption. Age 28 provides extended time horizon for volatility tolerance.	 Passive
STRC	15%	\$1,500	Bitcoin-correlated income. Historically 10-12% yield provides passive cash flow while maintaining Bitcoin exposure.	 Passive
VTI/VOO	25%	\$2,500	Broad U.S. equity exposure at low cost. Provides diversification beyond crypto/Bitcoin ecosystem.	 Passive
HYSA / Cash	20%	\$2,000	H1B liquidity buffer. Maintains accessible reserves for visa-related contingencies. ~4.5% yield in current rate environment.	 Passive

Aggressive Scenario (\$12,700 total)

ASSET CLASS	ALLOCATION	AMOUNT	EDUCATIONAL RATIONALE	H1B STATUS
Bitcoin (BTC)	50%	\$6,350	Larger core position reflecting moderate-aggressive risk tolerance and 37-year horizon to traditional retirement age.	 Passive
STRC	20%	\$2,540	Meaningful income generation position. At 11% yield, models ~\$279/year in passive distributions.	 Passive
VTI/VOO	15%	\$1,905	Traditional equity exposure for diversification and lower-volatility growth component.	 Passive
HYSA / Cash	15%	\$1,905	Reduced but maintained H1B liquidity buffer. Balances growth objectives with visa-related cash needs.	 Passive

These scenarios are for educational illustration. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. Bitcoin and cryptocurrency investments are highly volatile and speculative. STRC yield is historical and not guaranteed; verify current yield at time of investment. Past performance does not guarantee future results. All investments carry risk including potential loss of principal.

Modeled First-Year Value Summary (2026 Tax Year)

CATEGORY A: TAX OPTIMIZATION STRATEGIES (🟢 GREEN - DIRECT TO H1B HOLDER)

401(k) Increase Tax Savings (\$15K / \$24.5K vs. current \$5.1K)	\$2,178	\$3,490
HSA Maximization Tax + FICA Savings (\$4,400 vs. current \$2,000)	\$472	\$472
Student Loan Interest Deduction (above-the-line, ~\$825 interest)	\$100	\$100
A Subtotal: Tax Optimization	\$2,750	\$4,062

Note: No YELLOW (spouse's business) strategies available. Single H1B holder, GREEN only.

CATEGORY B: INVESTMENT INCOME (YIELD/DIVIDENDS) — ALL PASSIVE, H1B COMPLIANT

STRC Yield (~11% on \$1,500 / \$2,540)	\$165	\$279
VTI/VOO Dividends (~1.7% on \$2,500 / \$1,905)	\$42	\$32
HYSA Interest (~4.5% on \$2,000 / \$1,905)	\$90	\$86
B Subtotal: Investment Income	\$297	\$397

CATEGORY C: INVESTMENT APPRECIATION (MODELED) — ALL PASSIVE, H1B COMPLIANT

Bitcoin Appreciation (25% cons. / 50% agg. on \$4,000 / \$6,350)	\$1,000	\$3,175
STRC Appreciation (15% cons. / 30% agg. on \$1,500 / \$2,540)	\$225	\$762
VTI/VOO Appreciation (8% cons. / 12% agg. on \$2,500 / \$1,905)	\$200	\$229
C Subtotal: Appreciation	\$1,425	\$4,166

CATEGORY D: REAL ESTATE

Real estate not included (insufficient capital, high H1B liquidity risk)	\$0	\$0
D Subtotal: Real Estate	\$0	\$0

CATEGORY E: CASH FLOW IMPROVEMENTS

W-4 Optimization (reduced over-withholding, monthly cash flow)	\$300	\$600
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Debt Interest Savings (accelerated car loan payoff + student loan)	\$74	\$150
E Subtotal: Cash Flow	\$374	\$750
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED IN 2026)		
Additional 401(k) Contributions (above current \$5,100)	\$9,900	\$19,400
Additional HSA Contributions (above current \$2,000)	\$2,400	\$2,400
Backdoor Roth IRA (2026 contribution)	\$7,500	\$7,500
Emergency Fund Increase (toward 6-9 month target)	\$3,000	\$2,000
Taxable Investment Deployment	\$0	\$2,700
F Subtotal: Wealth Building	\$22,800	\$34,000
INFORMATIONAL: GREEN CARD STRATEGY UNLOCK (FUTURE ANNUAL VALUE)		
Estimated additional annual value after green card approval	\$15,000+	\$35,000+
<i>Not included in totals. Shown for planning purposes. See Section 6.5.</i>		
GRAND TOTAL: MODELED FIRST-YEAR VALUE (2026)	\$27,646	\$43,375

⚠ Important Notes on Value Summary:

- Category A values represent modeled tax savings (deduction × marginal rate). Actual savings depend on final taxable income.
- Category B-C values are modeled projections based on assumed yields and appreciation rates. Actual returns will vary.
- Category F represents dollars repositioned from cash flow into wealth-building vehicles. These are not "new" dollars but a redirection of existing income.
- Aggressive scenario requires negative monthly cash flow (-\$127/mo). May not be sustainable without expense reduction or income increase. Conservative scenario is the recommended starting point.
- All investments are passive activities. No H1B visa implications.

Calendar Awareness & Key Dates (2026)

DATE	ITEM	ACTION CONSIDERATION
Feb-Mar 2026	2025 IRA Deadline Approaching	Fund 2025 Backdoor Roth IRA (\$7,000) before April 15 if not yet completed
Feb-Mar 2026	2025 HSA Shortfall	Make additional 2025 HSA contribution (up to \$2,300 remaining) before April 15
April 15, 2026	2025 Tax Filing / IRA / HSA Deadline	File 2025 federal return. FBAR due. Last day for 2025 IRA and HSA contributions.
April 15, 2026	FBAR Filing (if applicable)	FinCEN Form 114 due if foreign accounts exceeded \$10,000 aggregate in 2025
Q2 2026	PERM Filing Discussion	Follow up with employer on PERM labor certification filing timeline. This is the first step in the EB-2/EB-3 green card process.
Throughout 2026	401(k) & HSA Contributions	Payroll contributions accumulate throughout year. Monitor pace toward target.
Oct 15, 2026	Extended Tax Filing Deadline	If filed for extension on 2025 return
Dec 31, 2026	401(k) Employee Deferral Deadline	Last day for 2026 employee 401(k) contributions via payroll
H1B Year 3	H1B Renewal Planning	Begin discussing H1B extension with employer 6 months before expiration. If I-140 is approved by then, extension beyond 6 years is possible.

Immigration-Specific Timeline Awareness

MILESTONE	ESTIMATED TIMING	FINANCIAL IMPACT
PERM Filing	2026 (employer-dependent)	First step toward green card. No direct financial impact but enables I-140 filing.
I-140 Filing & Approval	6-18 months after PERM	Enables H1B extensions beyond 6 years. If you marry, enables H4 EAD for spouse.
Priority Date Becoming Current	10-15+ years (India EB-2/3)	Enables I-485 filing and EAD. Unlocks all YELLOW and locked strategies.
Green Card Approval	Variable	Full employment freedom. All tax strategies available. Estimated \$15K-\$35K+ additional annual value.

Questions for Your Professional Team

For Your CPA (Tax Professional)

- I'm filing as a resident alien (met substantial presence test). Are there any remaining NRA provisions or treaty benefits from the US-India tax treaty that could apply to my situation?
- Can you walk me through the Backdoor Roth IRA process and handle the Form 8606 reporting? I want to do both a 2025 (\$7,000) and 2026 (\$7,500) contribution.
- With my increased 401(k) and HSA contributions, should we adjust my W-4 withholding to optimize monthly cash flow?
- What is my student loan interest deduction phase-out situation? Does increasing pre-tax contributions help me stay below the MAGI threshold?
- Do I have FBAR or FATCA filing requirements for any Indian accounts? What are the penalties for non-compliance?
- If I have Bitcoin gains in 2026, how are cryptocurrency capital gains reported for resident aliens? Any wash sale considerations?
- For 2025 filing: should I still use TurboTax, or would the Backdoor Roth and visa-related items benefit from professional preparation?

For Your Immigration Attorney

- What is the realistic timeline for my PERM filing and I-140 approval given my employer and job category?
- If I purchase a primary residence in the future, does that create any concerns for my H1B status or green card application?
- What happens to my investment accounts, property, and financial positions if I need to leave the US during the 60-day grace period?
- Are there any concerns with owning passive investment LLCs (for holding real estate or investments) while on H1B?
- If I marry in the future, what is the process for my spouse to obtain H4 EAD? How does my I-140 status affect that?

- Should I be preparing anything now (documentation, business plans) for strategies I want to implement after green card approval?

For Your Financial Advisor

- Given my H1B status and 60-day grace period risk, what is the appropriate emergency fund level? How should I balance liquidity with wealth building?
- How should I think about asset allocation given the uncertainty of my long-term US residency?
- What's the best way to structure my Roth IRA investments given my long time horizon but potential country relocation?
- How should I approach building toward a home purchase in 2-3 years while maintaining adequate liquidity for visa contingencies?
- If I do leave the US, what happens to my 401(k), Roth IRA, and taxable investment accounts?

Professional Team: Who to Consult for Implementation

PROFESSIONAL	ROLE IN YOUR STRATEGY	WHAT TO LOOK FOR
CPA / Tax Professional	Verify all tax strategy eligibility. Handle Backdoor Roth reporting (Form 8606). Ensure proper FBAR/FATCA compliance. Optimize withholding. File 2025 and 2026 returns.	Experience with resident alien / H1B tax situations. Knowledge of US-India tax treaty. Familiarity with Backdoor Roth IRA reporting. FBAR/FATCA experience.
Immigration Attorney	Guide green card process (PERM, I-140, I-485). Verify that financial activities comply with H1B restrictions. Advise on property ownership structure. Plan for future strategy unlocks.	Specialization in employment-based immigration. Experience with India EB-2/EB-3 backlogs. Knowledge of H1B holder investment/property ownership rules. Accessible for ongoing questions.
Financial Advisor	Investment allocation guidance. Retirement planning across accounts. Risk assessment considering visa uncertainty. Home purchase planning. Cross-border financial planning if relocating.	Fee-only or fiduciary advisor (avoids conflicts of interest). Experience with visa holder financial planning. Understanding of cross-border asset implications. Knowledge of Bitcoin and digital assets.
Real Estate Agent (Future)	When ready for home purchase: identify properties, navigate mortgage process as H1B holder, connect with H1B-friendly lenders.	Experience working with H1B / visa holder buyers. Knowledge of DSCR loans and alternative mortgage products. Connected to lenders who accept H1B borrowers.

Implementation of any strategy discussed in this document should be verified with the appropriate licensed professional before proceeding. This document provides educational context to facilitate those conversations.

Wealth Building Milestones

MILESTONE	TARGET	WHY IT MATTERS
Emergency Fund: 6-9 Months	\$19,000 - \$29,000	H1B visa holders face unique risks (60-day grace period). A larger emergency fund provides breathing room if employment is disrupted.
401(k) Balance: \$50,000	End of 2026	At \$15K/year contributions + employer match + growth on existing \$32K, this is achievable. Represents meaningful retirement foundation.
First Backdoor Roth IRA Funded	March 2026	Opens the door to decades of tax-free growth. Once the process is established, repeat annually.
Debt Free (Car + Student Loans)	2027-2028	Eliminating \$18,000 in debt frees ~\$580/month in cash flow for investing and wealth building.
\$100,000 Net Worth	2027-2028	Combining 401(k), Roth IRA, HSA, taxable investments, and reduced debt. A significant psychological and financial milestone.
Home Purchase Readiness	2028-2029	Accumulate down payment, establish strong credit history, verify mortgage eligibility as H1B holder, identify target neighborhoods in Austin.
I-140 Approval	TBD (employer-dependent)	Major immigration milestone. Enables H1B extensions beyond 6 years. If married, enables spouse's H4 EAD for YELLOW strategy unlock.
Green Card: Full Strategy Unlock	10-15+ years	Unlocks all business, consulting, and active real estate strategies. Estimated \$15K-\$35K+ additional annual value.

Educational Resources

Tax Strategy Education

- **IRS Tax Withholding Estimator:** irs.gov/W4App — Calculate optimal W-4 settings
- **Backdoor Roth IRA Guide:** Research the "mega backdoor Roth" and standard backdoor Roth process through Fidelity, Schwab, or Vanguard educational resources
- **HSA Investing:** Most HSA providers allow you to invest contributions beyond a cash threshold. Research your employer's HSA provider investment options.
- **Form 8606:** Required for Backdoor Roth reporting. Your CPA should handle this, but understanding the form helps.

Immigration Resources

- **USCIS H1B Information:** uscis.gov/working-in-the-united-states/h-1b-specialty-occupations
- **USCIS H4 EAD Information:** uscis.gov/working-in-the-united-states/h-4-ead (for future reference)

- **Visa Bulletin:** travel.state.gov/visa-bulletin — Track EB-2/EB-3 India priority date movement monthly
- **FBAR Filing:** bsaefiling.fincen.treas.gov — Electronic filing for FinCEN Form 114

Investment Education

- **Bitcoin Education:** Research Bitcoin's monetary properties, halving cycles, and adoption metrics through educational resources
- **STRC:** Verify current yield and prospectus at time of investment. Historical yields are not guaranteed.
- **Bogleheads Wiki:** bogleheads.org/wiki — Comprehensive guide to passive index investing (VTI, VOO)

Important Disclaimers

General Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

Not Investment Advice: Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal.

Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax savings depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

Not Legal Advice: Entity structure, asset protection, and immigration discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

No Guarantees: Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results.

Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of February 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

Limitation of Liability: Legacy Investing Show assumes no liability for actions taken based on information in this educational document. You are solely responsible for your financial decisions.

Immigration Status Disclaimer

Not Immigration Advice: This document does not constitute immigration legal advice. Legacy Investing Show is not an immigration law firm and does not provide guidance on visa compliance, employment authorization, or immigration status. All strategies presented are filtered for general H1B/H4 compliance based on publicly available information, but individual circumstances vary significantly.

Immigration Attorney Required: Before implementing ANY strategy that involves business entity formation, active income generation, real estate management, or employment of family members, consult with a qualified immigration attorney.

H4 EAD Dependency Risk: Strategies utilizing a spouse's H4 EAD work authorization are contingent on the H1B holder's continued valid status and approved I-140 petition. If the I-140 is revoked or H1B status is lost, the H4 EAD may become invalid, which would affect all business operations and income conducted under that authorization. (This provision is included for completeness, though Priya is currently single.)

Changing Regulations: H1B and H4 EAD regulations are subject to change through executive action, rulemaking, or legislation. The 2025 DHS final rule on H1B beneficiary-owned companies and H4 EAD authorization rules may be modified. Verify current regulations with your immigration attorney.

State-Specific Rules: Some states have additional requirements or restrictions for visa holders forming business entities, obtaining professional licenses, or purchasing real estate. Texas-specific rules should be verified with your attorney.

60-Day Grace Period: If H1B employment is terminated, there is a 60-day grace period to find a new H1B sponsor, change visa status, or depart the United States. Financial strategies should account for this contingency through adequate liquidity reserves.